



THE CLIMATE CRISIS is real. Countries, cities and companies have commenced work towards abating greenhouse gases (GHG), yet the past eight years (2015 to 2022) are on track to be the eight warmest on record, fuelled by ever-rising greenhouse gas concentrations and accumulated heat (per the WMO Provisional State of the Global Climate in 2022 report). This has resulted in extreme heat waves, drought and devastating floods, affecting millions and costing billions this year.

Companies have been adhering to the protocols for effectively measuring their GHG emissions, but that's mostly restricted to Scope 1 (direct emissions) and Scope 2 (emissions from direct purchases of energy). The indirect emissions, which occur in activities outside the boundary of an organisation—such as vendors, suppliers, etc., which are external entities but are inextricably part of its value chain—are classified under Scope 3. Tellingly, Scope 3 emissions account for about 75 per cent of the total industrial carbon footprint, and are often neglected.

Scope 3 emissions are more relevant as a company-level mea-

sure than at the country level. And collective effort at the companies' level can contribute in a big way towards achieving the country's net zero goal. "When sectors like oil & gas and auto focus on Scope 3, it captures the real emissions challenge from those industries that are in the in-use space," says Naveen Unni, Partner and India lead of Sustainability at McKinsey & Company. "When large organisations focus on Scope 3 emissions, they work with SMEs (suppliers/contractors) in helping them decarbonise, which will accelerate

IN 2021, THE HARD-TO- ABATE SECTORS DOMINATED SCOPE 3 EMISSIONS; OIL AND GAS WAS THE LARGEST CONTRIBUTOR

decarbonisation further and help identify decarbonisation innovations in hard-to-abate sectors."

Further, Unni explains that what is Scope 3 emission for one company (say, a large organisation) may be Scope 1 or Scope 2 for its vendor or partner. For instance, for an auto manufacturer, emissions in procured steel is Scope 3, but for the steel company, the emissions in manufacturing the steel is Scope 1 or 2. So, the process of addressing Scope 3 emissions could actually lead to a fall in the other emissions, too. Sounds deceptively simple, but it is actually highly complex, largely because many of the partners and vendors simply don't understand Scope 3 emissions and what exactly they need to do. Plus, data on Scope 3 is maddeningly hard to come by.

"There are challenges around collecting accurate data on Scope 3 emissions due to the large supplier base of organisations dispersed across different geographies. This makes it difficult to set an accurate baseline and measure progress," explains Anvesha Thakker, Partner & Lead for Renewable Energy at KPMG in India. "The organisational structure is not there in many companies to collect data on and address Scope 3 emissions, and functions from all parts of a company need to be involved in this."

MEETING THE EMISSIONS CHALLENGE

Several large companies, therefore, are taking the lead in carrying along their ecosystem on their journey. For instance, French multinational Schneider Electric is present in over 100 countries. For Schneider Electric to become net zero in the complete value chain by 2050, reduction of Scope 3 emissions is critical. "To make strong strides in this, we have launched The Zero Carbon Project with our top 1,000 suppliers to reduce their